

$$\begin{aligned}\text{Premium received} &= ₹20 + ₹40 \\ &= ₹60\end{aligned}$$

$$\begin{aligned}\text{Break-even point (Upper bound)} &= \text{Call strike price} + \text{Premium received} \\ &= 25,100 + ₹60 \\ &= 25,160\end{aligned}$$

$$\begin{aligned}\text{Break-even point (Lower bound)} &= \text{Put strike price} - \text{Premium received} \\ &= 24,900 - ₹60 \\ &= 24,840\end{aligned}$$

Let us understand what happens in different scenarios.

Particulars	Nifty at 25,000	Nifty above 25,160	Nifty below 24,840
Outcome of selling Nifty 25,100 call	Premium of ₹20 captured	Unlimited loss	Premium of ₹20 captured
Outcome of selling Nifty 24,900 put	Premium of ₹40 captured	Premium of ₹40 captured	Unlimited loss
Net outcome	Gain of ₹60	Unlimited loss	Unlimited loss

Let us visualise these pay-offs.

